

CHIEF INVESTMENT OFFICE

Capital Market Outlook

August 31, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—Moderate Growth, Broadening Opportunities: With incoming data showing moderate growth with relatively steady inflation, concern about a destabilizing increase in interest rates have recently centered around heavier-than-expected government and corporate debt issuance alongside potentially softer foreign demand for Treasury securities—such as due to structural changes from normalizing interest rates in Japan following decades of abnormally low levels, for example. However, with private-sector underpinnings healthy, the unique role of the U.S. in the global economy and financial markets, and scope to gradually reduce fiscal deficits without dire effects on economic growth, market pricing has remained more focused on near-term growth and inflation dynamics—with interest rates contained in their three-year range and quite sensitive to oil market developments. Consistent with an extended expansion and surging profits, credit spreads have also remained narrow. We remain optimistic about growth and inflation dynamics and expect cyclical assets to continue to outperform despite occasional trepidations.

Market View—Taking Stock of the End of Capital Abundance: For much of the past quarter century, the global economy enjoyed a remarkable luxury: Capital was abundant, cheap and seemingly limitless. Few countries benefited more from this age of capital abundance than the U.S. For decades, the world was happy to finance the difference.

Now, at precisely the moment when America's financing needs have rarely been greater, the age of abundant capital is giving way to something very different: The age of capital competition. While the supply of savings hasn't collapsed, the world has developed an enormous appetite for capital. We call the list of claimants on capital the Five Ds: Debt, Defense, Digitalization, Demographics and Deglobalization. Between large structural deficits, the end of the post-Cold War peace dividend, the capital-intensive Artificial Intelligence (AI) buildout, aging populations and the reorganization of supply chains, emerging competition for capital has become visible in the capital markets. For investors, all the above likely means structurally higher real interest rates and leaders in areas like power generation, defense, industrial automation and other capital-intensive industries. In the end, the age of capital abundance is fading—the era whereby capital basically chased borrowers is past. Prologue will be defined by borrowers chasing capital. The tide has turned.

The Ticker Tape—Top Questions Answered Directly by Our Chief Investment Officer (CIO).

- What portfolio addition could potentially help mitigate a sharp rise in inflation and/or yields? How about the start of a new hiking cycle where short-term interest rates rise consistently?

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Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets, and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

Moderate Growth, Broadening Opportunities

Chief Investment Office, Macro Strategy Team

Although the Citi Economic Surprise Index has been easing over the past month as a rising number of data releases have fallen short of elevated expectations (Exhibit 1), the data remains broadly positive and consistent with sustained moderate growth. Indeed, with alternating waves of headwinds and tailwinds, real consumer spending and gross domestic product (GDP) continue to expand near their longer-run average rates even with substantial wealth effects and strong growth in government transfer payments.

Employment and hours worked have barely increased over the past year, leaving productivity to account for nearly all the economic growth. Combined with moderating wage growth, this has contained unit labor costs—a positive for inflation dynamics. Despite stubborn readings above the Federal Reserve’s (Fed) 2% target inflation through July, consumer price index data were relatively favorable, and although the latest personal consumption expenditures (PCE) report was less reassuring, much of the upside pressure remained concentrated in healthcare, tariff- and energy-sensitive categories, as well as in volatile financial services that tend to follow equity-market gains. The latter inflation category is slated to be revised lower when new index methodologies are announced next month. Meanwhile, a broad range of other goods and services showed signs of cooling inflation on a three-month annualized basis, as shown in Exhibit 2.

Exhibit 1: Economic Data Surprises Have Been More Mixed Over The Past Month...



Source: Bloomberg. Data as of August 26, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

Basically, tariffs, elevated oil prices, wealth effects and AI-related electronics price inflation continue to put upward pressure on inflation and interest rates. Although higher gasoline prices have largely offset the One Big Beautiful Bill Act’s (OBBBA) direct benefit to consumers, the shift from a negative fiscal impulse in 2025 to a positive impulse this year has supported aggregate demand, contributing to the stalled progress on headline inflation. Government transfers increased rapidly in July to a new high as a share of personal income, as aging baby boomers retire.

Upside pressures on inflation have been counteracted in large part by slowing wage growth, subdued housing activity, relatively tame credit growth, strong productivity, and soft unit labor cost increases. In our view, if demand materially exceeded productive capacity, inflation reacceleration would be much more pervasive.

Also important, the effective tariff rate is expected to average approximately 10% this year, broadly matching its 2025 average absent another policy shock. The tariff contribution to inflation is thus expected to continue to fade from its estimated early-2026 peak of roughly 0.8 percentage point. Further oil-price moderation and methodological changes affecting financial-service prices and other categories seen as misrepresenting true inflation will also help improve the picture. Alongside anchored longer-term inflation expectations, this suggests a gradual further moderation in inflation, which would improve household purchasing power and support economic

Investment Implications

Trend economic growth near potential—led by strengthening business investment, manufacturing activity, and sturdy productivity increases—suggests continued expansion with moderate inflation as well as broadening earnings growth across sectors and market capitalization.

Exhibit 2:And Upside Inflation Pressures Have Become Less Broad-based Over the Past Three Months.

PCE Price Index	3-month annualized % change	Year-over-Year %*	Average over pre-pandemic decade**
Tax preparation and related businesses	41.0%	2.8%	3.8%
Financial services (charges, fees, commissions)	31.0%	14.0%	5.0%
Housing and Utilities	2.9%	3.3%	2.4%
Healthcare	3.3%	3.0%	1.6%
Ground transportation services	-6.8%	1.4%	2.1%
Air transportation services	12.5%	17.0%	2.4%
Recreation services	0.1%	2.9%	2.0%
Food services and accommodation	0.6%	3.4%	2.4%
Durable goods	1.5%	3.4%	-1.7%
Recreational goods and vehicles	8.7%	8.6%	-4.8%
Motor vehicle tires, parts, and accessories	7.0%	4.0%	1.0%
Furnishings and household durable goods	-4.6%	0.4%	-1.9%
Clothing and footwear	-1.0%	3.5%	0.3%
Information Processing Equipment	12%	15%	-6%

* July 2026/July 2025. **2010-2019 Average. Sources: Haver Analytics; Chief Investment Office. Data as of August 26, 2026 It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results..**

growth. Real consumer spending appears on track for approximately 2.5% to 3% annualized growth in Q3, following + 0.5% in Q1 and +3.5% in Q2.

Also positive, business investment in equipment and intellectual property accelerated strongly in the first half. Business investment in manufactured goods is particularly positive for broadening economic growth given manufacturing activity's high multiplier effect on jobs and aggregate demand. Helped by surging AI investment, OBBBA tax incentives, and rebounding profitability, manufacturing activity is rapidly improving after several weak years, helping sustain real GDP growth near 2.1% year-over-year, in line with its 25-year average. Although July "core" capital-goods orders were disappointing, June was revised substantially higher, raising estimates for Q3 business investment. Strong regional manufacturing surveys also point to strong momentum, mostly the direct result of surging AI-related investment.

While there is no single accepted estimate for AI investment in the U.S., it is generally projected at around \$600 billion in 2026, \$850 billion in 2027, \$950 billion in 2028, and over \$1 trillion in 2029. While reaching new highs, its growth rate—and therefore its contribution to GDP growth—is eventually projected to moderate from +50% to +60% in 2026 and 2027 to +10% by 2029. Also important, its domestic impact is smaller than the headline total suggests. According to industry estimates, 70% of AI spending is directed toward equipment, most of it imported. Thus, only around 50% of projected U.S. AI investment is poised to directly help the domestic economy—though still enough to help broaden growth through expanding domestic data-center construction, equipment production, power generation, and supporting infrastructure.

The manufacturing sector's broader spillovers to suppliers, construction, transportation, and services make the sector's recovery an important support for continued expansion. Consistent with surging AI capital expenditures, rebounding industrial production, and very strong profit estimates both here and abroad, BofA's Global Wave¹ indicator has continued to increase—a typically favorable indicator for cyclical assets' performance relative to defensives.

With the growth and inflation outlook remaining positive, concerns have shifted to fiscal strains and uncertainty, as the 2026 deficit appears likely to exceed the Congressional Budget Office's February projection by about \$200 billion, and publicly-held debt is projected to rise from approximately 101% of GDP in 2026 to 120% by 2036—a path that could test investor confidence.

However, since there is no identifiable debt threshold that automatically triggers a crisis, and comparisons with smaller or externally indebted economies are imperfect, the loss of confidence in the sustainability of the debt has been short-lived. Indeed, U.S. debt is dollar-denominated and approximately 70% is domestically held. Deep capital markets and the dollar's global reserve currency role sustain structural Treasury demand. Also important, healthy private sector balance sheets and productivity growth leave scope for gradual fiscal consolidation in a solidly growing economy without the dire negative effects on the economy observed in past debt crises overseas. Thus, despite recent concerns, Treasury yields remain within their three-year range and broadly consistent with moderate growth and anchored inflation expectations, their recent variations largely tracking energy prices and geopolitical developments.

Also important, the term premium has returned to pre-global-financial-crisis levels following exceptionally low levels in the post-2008-2009 decade. However, its increase appears to be just a normalization in a delayed response to previous monetary tightening. Indeed, the estimated 10-year term premium—or compensation required by investors to hold long-term debt rather than roll over short-term debt—has historically followed the federal funds rate with a substantial lag of almost 3 years.

While government debt supply, central-bank balance sheet policy, inflation, and interest-rate volatility shape the term premium, the lagged fed funds–term premium correlation suggests that the 2024 to 2025 policy easing is likely to act as a moderating force on the term premium for the foreseeable future. In our view, the growth and interest rate environment is, therefore, likely to remain constructive for continued expansion and cyclical assets' performance, including materials and infrastructure investments while fiscal uncertainty, soft labor demand, and an eventually moderating AI investment impulse argue for portfolio diversification.

¹ BofA Global Wave quantifies global economic trends, and it is used to forecast stock market performance.

MARKET VIEW

Taking Stock of the End of Capital Abundance

Joseph Quinlan, *Managing Director and Head of Market Strategy*

For much of the past quarter century, the global economy enjoyed a remarkable luxury: Capital was abundant, cheap and seemingly limitless.

Savings flowed freely across borders. Global interest rates drifted steadily lower and, for a time, actually turned negative across parts of Europe and Japan. Governments borrowed with few apparent consequences. Corporations financed growth at historically attractive rates. Households gained access to inexpensive credit. And investors prospered as declining discount rates helped push the valuations of stocks, bonds, real estate and other financial assets higher.

Few countries benefited more from this age of capital abundance than the U.S. As the world's largest debtor nation and home to the world's deepest capital markets, America tapped the global savings pool with extraordinary ease. Foreign capital helped finance persistent federal budget and current account deficits while keeping U.S. borrowing costs remarkably low. Washington could spend more than it collected, households could consume more than they earned, and the country as a whole could invest more than it saved.

For decades, the world was happy to finance the difference. That comfortable arrangement is now being challenged. At precisely the moment when America's financing needs have rarely been greater, the age of abundant capital is giving way to something very different: The age of capital competition.

Importantly, the world is not running out of savings. According to the International Monetary Fund, gross global savings remain around 27% of world GDP, roughly in line with the average of this century. The supply of savings has not collapsed.

What has changed is the other side of the equation. The world has developed an enormous appetite for capital. Governments, corporations and households are increasingly competing for essentially the same pool of savings. And when demand for something rises faster than its supply, its price tends to rise. For capital, that price is the interest rate.

The past was different. The previous era of abundance was unusual not merely because the world saved a great deal but because investment demand was comparatively weak.

China, Germany, Japan, oil-producing nations and other surplus economies generated enormous pools of excess savings. Emerging market central banks accumulated foreign exchange reserves, much of which found its way into U.S. Treasury securities. Meanwhile, following the global financial crisis, private investment across much of the developed world remained subdued.

The upshot: Too much capital was chasing too few attractive and potential investment opportunities.

Today, that equation is reversing. Global savings remain plentiful, but the list of claimants on that capital is exploding. We call them the Five Ds: Debt, Defense, Digitalization, Demographics and Deglobalization.

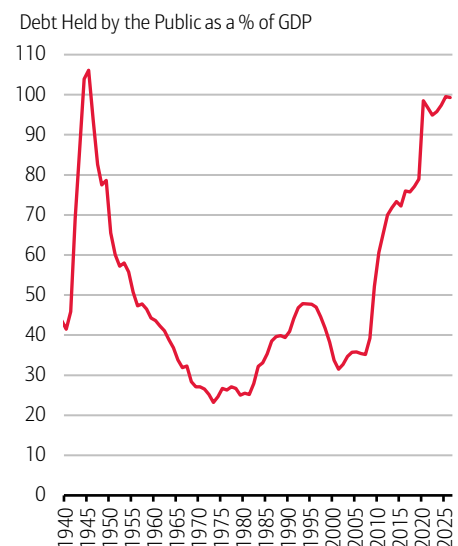
Start with debt. Governments across the developed world are running large structural deficits while simultaneously confronting rising interest expenses. The U.S. stands out. Federal debt held by the public is approaching the size of annual U.S. GDP, and Washington must finance large new deficits while continually refinancing trillions of dollars of existing obligations (Exhibits 3 and 4). Treasuries are therefore competing for capital on a massive scale.

Then comes defense. Russia's invasion of Ukraine, tensions in the Middle East and strategic competition between the U.S. and China have ended the post-Cold War peace dividend. America is rebuilding munitions inventories, Europe is rearming, and Asian

Investment Implications

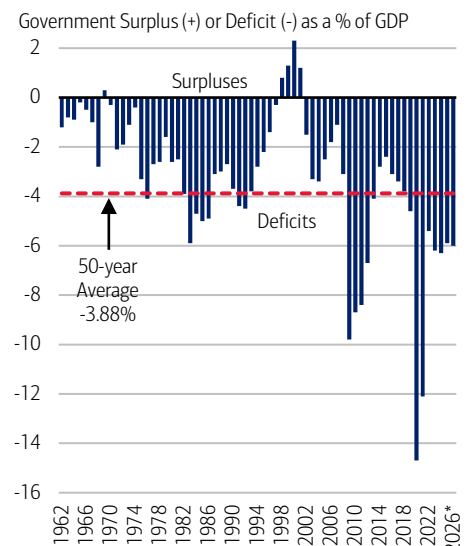
The age of capital competition will likely favor quality companies with strong balance sheets, durable cash flows and capital discipline, in our view. Investors should consider from the global capital spending cycle via exposure to themes such as power and electrical infrastructure, defense, robotics, semiconductors and data centers.

Exhibit 3: U.S. Debt-to-GDP Ratio Hovers at 100%.



Sources: Office of Management and Budget; U.S. Treasury; Bureau of Economic Analysis. Data as of August 2026. 2026 estimate based on latest debt figure and Q2 GDP.

Exhibit 4: U.S. Budget Deficit Remains Elevated.



*Estimate based on 12 months through July 2026. Source: Congressional Budget Office; U.S. Department of the Treasury. Data as of August 2026.

nations are increasing military expenditures. Ships, missiles, satellites, drones and defense-production facilities all require capital.

Third is digitalization. The AI revolution may prove to be among the most capital-intensive technological transformations in history. Technology companies are spending extraordinary sums on data centers, advanced semiconductors, networking equipment and power generation. Utilities need capital to expand and modernize electrical grids. Semiconductor manufacturers require tens of billions of dollars to build advanced fabrication plants. All the above is enormously expensive and demands capital.

Fourth is demographics. Aging populations are placing growing pressure on government budgets through pensions, healthcare and other social programs. Fewer workers relative to retirees mean greater fiscal burdens across much of the developed world. In the U.S. alone, mandatory spending outlays on Medicaid, Medicare and Social Security have jumped from \$724 billion in 2000 to \$3.2 trillion in FY 2025.

Finally, there is deglobalization. For decades, globalization was fundamentally about efficiency: Produce goods wherever costs were lowest. Today's world increasingly prizes resilience and national security, which means the duplication of supply chains, reshored factories, expanding strategic inventories and subsidized domestic manufacturing facilities. All these objectives, of course, require capital.

Indeed, the common denominator of debt, defense, digitalization, demographics and deglobalization is access to capital. And since these factors are structural rather than cyclical, their demands on global savings are unlikely to fade any time soon.

Evidence of this emerging competition is increasingly visible in financial markets. Investment-grade companies have already sold nearly \$1.5 trillion of bonds this year, roughly 36% more than during the comparable period last year and on pace to challenge previous records, according to Bloomberg. With hyperscalers expected to continue pouring capital into AI infrastructure through the end of the decade, corporate demand for financing could remain elevated for years.

Meanwhile, the U.S. Treasury must finance enormous federal deficits. The result is an increasingly crowded marketplace in which governments and corporations are competing for the same investor dollars. Recent shifts by investment grade bond funds away from Treasuries and toward corporate debt offer a small but telling glimpse of what this new environment may look like (Exhibits 5 and 6).

For investors, the implications are significant. First, real interest rates may remain structurally higher than during much of the previous two decades. Investors waiting for a return to the ultra-low-rate environment of the 2010s may be waiting a very long time.

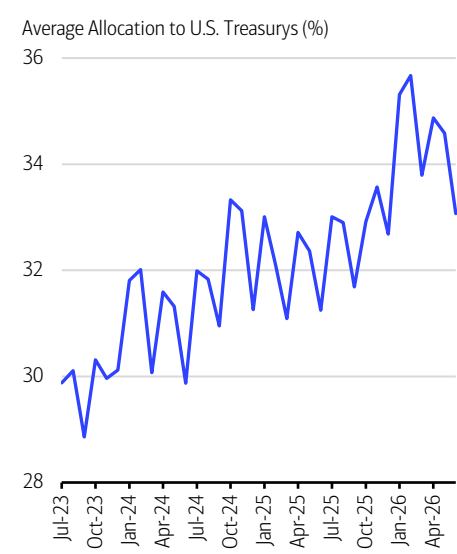
Second, fiscal policy matters again. In an era of abundant capital, markets often tolerated fiscal excess. In a world of greater capital competition, countries that borrow heavily without generating corresponding economic returns may eventually pay a higher price. Keep a close eye on Japan.

Third, capital allocation matters more. Companies capable of generating strong returns on invested capital, maintaining healthy balance sheets and funding expansion internally should command a premium. When money is no longer virtually free, the difference between productive investment and financial engineering becomes much more important.

Fourth, the world's enormous capital spending cycle should create winners. Power generation, electrical infrastructure, defense, industrial automation, semiconductors, data centers and other capital-intensive industries could enjoy years of elevated investment and higher-than-expected earnings growth, in our view.

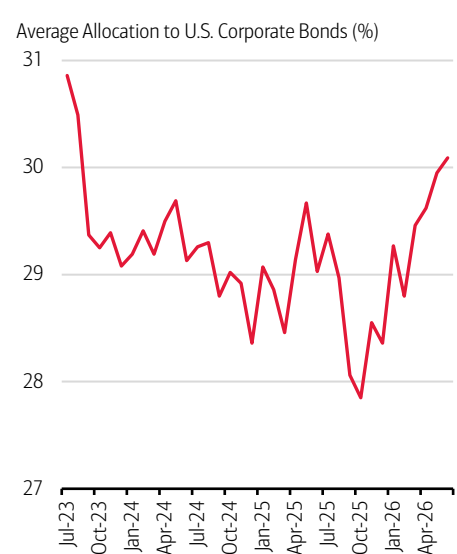
In the end, the age of capital abundance is fading—the era whereby capital basically chased borrowers is past. Prologue will be defined by borrowers chasing capital. The tide has turned.

Exhibit 5: Bond Funds Have Trimmed Treasury Exposure This Year...



Refers to average monthly exposure of U.S. Intermediate Core Bond funds to Treasuries and corporate bonds. Sources: Morningstar; Bloomberg. Data as of August 20, 2026.

Exhibit 6: ...While Adding Corporate Bond Exposure.



Refers to average monthly exposure of U.S. Intermediate Core Bond funds to Treasuries and corporate bonds. Sources: Morningstar; Bloomberg. Data as of August 20, 2026.

What portfolio addition could potentially help mitigate a sharp rise in inflation and/or yields? How about the start of a new hiking cycle where short-term interest rates rise consistently?

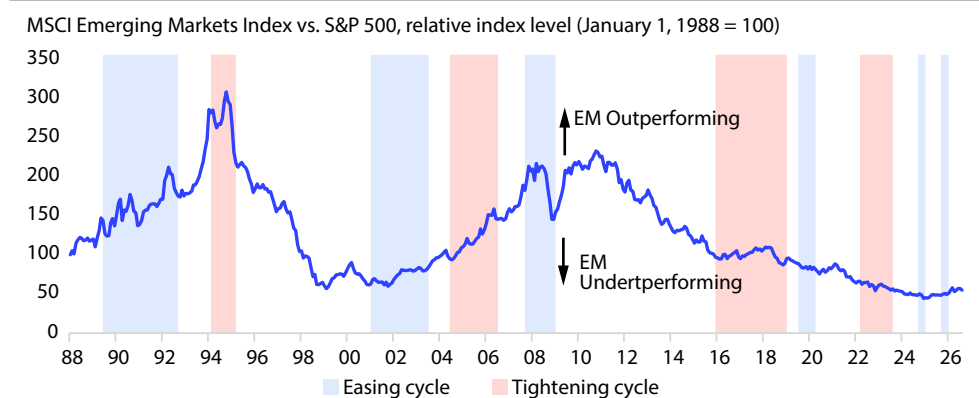
Christopher Hyzy, *Chief Investment Officer*

- If inflation or a weaker U.S. dollar are the reason for a sharp rise in yields, then increasing exposure to Commodities as a complement to a core portfolio makes sense. Above-average inflation that is consistent and not excessive mixed with a weaker U.S. dollar are generally tailwinds for commodities and the companies that mine for them. Additionally, if global economic growth is running above trend and the U.S. dollar weakens as it normalizes relative to other currencies, then adding non-U.S. Developed Markets and Emerging Markets (EM) exposure also makes sense.
- If short rates rise sharply due to a new interest rate hiking cycle, a more defensive tilt in asset exposure makes sense. In other words, in the equity markets more defensive sectors become more in demand, lower-volatility and higher-quality areas become more in demand, cyclical shares tend to feel downward pressure, and highly levered areas without a ton of debt are generally impacted the most. If the short-term rate rise is minimal and a new hiking cycle is not beginning, then a solid mixture of Value and Growth Equities, laddered portfolio in bonds, exposure to commodities and thematic ideas make the most sense overall, in our view.

Portfolio Considerations

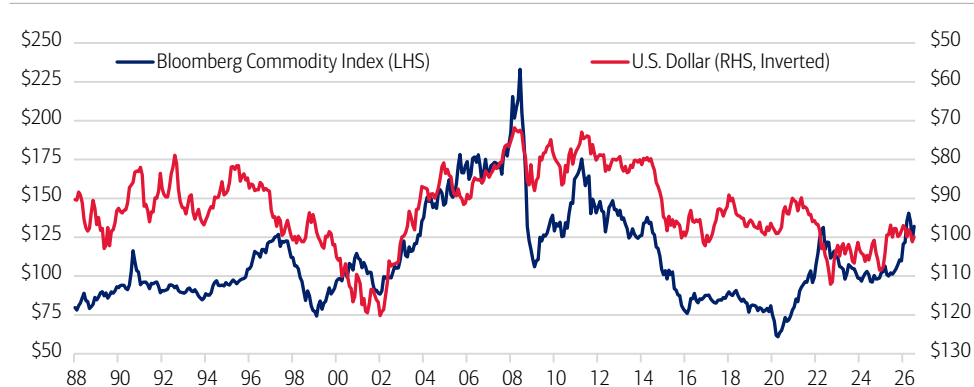
Rising inflation or a weaker U.S. dollar can favor commodities and international Equities, while sharp rate hikes support a more defensive stance, though a balanced mix of Value and Growth stocks, bonds, commodities, and thematic investments remains appropriate if rate increases are limited.

Exhibit 7: MSCI EM vs S&P 500 Indexes Through Fed Cycles.



Sources: Bloomberg; Chief Investment Office. Data as of July 31, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

Exhibit 8: A Weaker Dollar Has Historically Fueled Commodity Strength.



Source: Bloomberg. Data as of August 27, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

Equities

Equities	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	53,559.99	0.6	2.2	12.6
NASDAQ	26,402.42	0.9	4.1	14.0
S&P 500	7,711.76	0.5	3.1	13.5
S&P 400 Mid Cap	3,779.47	-1.3	0.7	15.3
Russell 2000	2,972.37	-1.5	1.5	20.6
MSCI World	4,986.16	0.3	3.0	13.5
MSCI EAFE	3,246.34	0.1	2.4	14.3
MSCI Emerging Markets	1,722.14	0.0	3.5	24.3

Fixed Income[†]

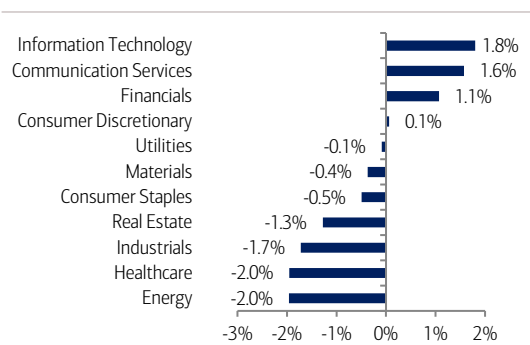
Fixed Income	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.91	0.15	0.43	-0.38
Agencies	4.66	-0.10	0.20	0.44
Municipals	3.93	-0.16	0.06	0.49
U.S. Investment-Grade Credit	4.99	0.13	0.48	-0.21
International	5.48	0.32	0.53	-0.30
High Yield	7.27	0.27	1.00	2.72
90 Day Yield	3.80	3.79	3.75	3.63
2 Year Yield	4.34	4.24	4.29	3.47
10 Year Yield	4.72	4.73	4.73	4.17
30 Year Yield	5.21	5.27	5.27	4.84

Commodities & Currencies

Commodities	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Bloomberg Commodity	361.68	-0.1	6.5	30.9
WTI Crude \$/Barrel ^{††}	83.40	-4.2	-1.5	45.2
Gold Spot \$/Ounce ^{††}	4455.11	-3.2	10.1	3.1

Currencies	Total Return in USD (%)			
	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.16	1.17	1.15	1.17
USD/JPY	160.09	158.95	157.40	156.71
USD/CNH	6.73	6.72	6.75	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 08/24/2026 to 08/28/2026. [†]Bloomberg Barclays Indices. ^{††}Spot price returns. All data as of the 08/28/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 8/28/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.4
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.5	2.4	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.2	2.9	3.2	2.0
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.5	2.5	2.5
Unemployment rate (%)	4.3	4.3	4.2	4.2	4.2	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.** A = Actual. E/* = Estimate. Data as of August 28, 2026. Sources: BofA Global Research; GWIM ISC as of August 28, 2026.

Asset Class Weightings (as of 8/4/2026)

Asset Class	CIO View				
	Underweight		Neutral		Overweight
Global Equities	•	•	•	●	•
U.S. Large-cap Growth	•	•	•	●	•
U.S. Large-cap Value	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
U.S. Small-cap Value	•	•	•	●	•
International Developed	•	●	•	•	•
Emerging Markets	•	•	•	●	•
Global Fixed Income	•	●	•	•	•
U.S. Governments	•	●	•	•	•
U.S. Mortgages	•	●	•	•	•
U.S. Corporates	•	●	•	•	•
International Fixed Income	•	●	•	•	•
High Yield	•	●	•	•	•
U.S. Investment-grade Tax Exempt	•	●	•	•	•
U.S. High Yield Tax Exempt	•	●	•	•	•
Alternative Investments*					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

CIO Equity Sector Views

Sector	CIO View				
	Underweight		Neutral		Overweight
Industrials	•	•	•	●	•
Consumer Discretionary	•	•	•	●	•
Financials	•	•	•	●	•
Information Technology	•	•	●	•	•
Energy	•	•	●	•	•
Materials	•	•	●	•	•
Utilities	•	•	●	•	•
Healthcare	•	•	●	•	•
Communication Services	•	●	•	•	•
Real Estate	•	●	•	•	•
Consumer Staples	•	●	•	•	•

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of August 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Personal Consumption Expenditures Price Index is a key economic measure that tracks the average change in prices paid by U.S. consumers for goods and services.

Citi Economic Surprise Index is an economic indicator that measures whether published macroeconomic data is beating or missing market expectations.

Consumer Price Index is a measure of the average change over time in the prices paid by urban consumers for a representative market basket of consumer goods and services.

MSCI Emerging Markets Index is a stock market index that tracks the performance of large-cap and mid-cap companies across 25 developing countries.

Bloomberg Commodity Index is a broadly diversified financial benchmark that tracks the price movements of futures contracts on physical commodities.

Important Disclosures

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